

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 3704

By: Crosswhite Hader and
 Caldwell (Chad) of the
 House

7 and

8 **Daniels** of the Senate

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10
11 COMMITTEE SUBSTITUTE

12 An Act relating to revenue and taxation; electing the
13 State of Oklahoma to participate in the federal
14 income tax credit for individual contributions to
15 scholarship granting organizations; directing the
16 Governor to execute required certification and
17 agreements as required by the United States
18 Department of the Treasury; requiring the Oklahoma
19 Tax Commission to identify certain scholarship
20 granting organizations and provide list to the
21 Secretary of the Treasury; requiring the Oklahoma Tax
22 Commission to promulgate necessary rules, forms, and
23 procedures; prohibiting the promulgation of rules
24 that exceed certain requirements; providing for
 election to participate in the federal income tax
 credit to remain in effect for certain period;
 providing for codification; and providing an
 effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

1 SECTION 1. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 2357.901 of Title 68, unless
3 there is created a duplication in numbering, reads as follows:

4 A. The State of Oklahoma hereby elects to participate, to the
5 fullest extent permitted by federal law, in the federal income tax
6 credit for individual contributions to Scholarship Granting
7 Organizations, as established in Section 25F of the Internal Revenue
8 Code of 1986, as added by Section 70411 of Pub. L. No. 119-21, or
9 any successor provision.

10 B. The Governor of this state is directed and authorized to:

11 1. Execute and submit any election, certification, agreement,
12 or other instrument required by the United States Department of the
13 Treasury or the Internal Revenue Service for a state to be treated
14 as a "covered state" for purposes of the federal credit for
15 contributions to scholarship granting organizations;

16 2. Designate, consistent with federal law, the Oklahoma Tax
17 Commission as the state agency responsible for:

18 a. identifying and registering Scholarship Granting
19 Organizations within this state that meet the
20 requirements of Section 25F of the Internal Revenue
21 Code of 1986 and related federal guidance,

22 b. maintaining and providing to the Secretary of the
23 Treasury a list of Scholarship Granting Organizations
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1 identified in subparagraph a of this paragraph that
2 are located in this state, and

3 c. performing any reporting, recordkeeping, or compliance
4 functions specifically required of covered states
5 under Pub. L. No. 119-21 and applicable federal
6 regulations; and

7 3. Take any other action and execute any other document that is
8 required to implement and maintain the state's election to
9 participate in the federal tax credit for contributions to
10 Scholarship Granting Organizations.

11 C. The Oklahoma Tax Commission shall:

12 1. Coordinate, to the extent necessary, the administration of
13 this section with the existing income tax credit provided in Section
14 2357.206 of Title 68 of the Oklahoma Statutes for contributions to
15 scholarship granting organizations and related entities that also
16 comply with Section 25F of the Internal Revenue Code, as added by
17 Pub. L. 119-21;

18 2. Promulgate such rules, forms, and procedures, subject to
19 subsection D of this act as are necessary to:

- 20 a. register Scholarship Granting Organizations on a list
21 and in a format indicated by the Department of
22 Treasury for purposes of this section,
23 b. collect and transmit information only as required by
24 the Secretary of the Treasury or the Internal Revenue

1 Service concerning qualified contributions, qualified
2 organizations, and scholarship awards, and
3 c. inform taxpayers and Scholarship Granting
4 Organizations of the interaction between the federal
5 credit under Section 25F of the Internal Revenue Code
6 of 1986 and any state-level income tax credit allowed
7 under Section 2357.206 of Title 68 of the Oklahoma
8 Statutes, including any reduction in the federal
9 credit on account of a state credit for the same
10 contribution.

11 D. No state department, division, or any other agency,
12 including the Oklahoma Tax Commission and Governor, shall promulgate
13 any rules or regulations that exceed requirements of the applicable
14 federal law or rules and regulations in implementing this act.

15 E. The election made pursuant to subsection A of this section
16 shall remain in effect for all tax years for which federal law
17 permits state participation in the credit program, unless repealed
18 by an act of the Legislature or unless federal law is amended to
19 terminate participating-state status.

20 SECTION 2. This act shall become effective November 1, 2026.

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22 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
23 03/05/2026 - DO PASS, As Amended and Coauthored.
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